SIEMENS ENERGY INDIA LIMITED

NSE: ENRIN | BSE: 544390 | Sector: Heavy Electrical Equipment

Incorporated 2024 | Demerged from Siemens India | Parent: Siemens AG, Germany

RATING	12M PRICE TARGET	CMP (27 Apr 2026)	UPSIDE / (DOWNSIDE)
HOLD	**Rs. 3,600**	**Rs. 3,192**	**+12.8%**

Market Cap	Rs. 1,13,654 Cr	**52W High / Low**	Rs. 3,625 / Rs. 2,105
P/E (TTM)	93.2x	**EV / EBITDA**	61.6x
P/B	26.0x	**Forward P/E**	90.8x
ROCE	67.8%	**ROE**	50.5%
Net Debt / Equity	0.03x	**Interest Coverage**	53.8x
Promoter Holding	75.0%	**Promoter Pledge**	0.00%
Face Value	Rs. 2.00	**Dividend Yield**	0.13%
Order Backlog (Q1 FY26)	Rs. 17,599 Cr	**Total Shares**	35.60 Cr
Enterprise Value	Rs. 1,10,340 Cr	**Book Value / Share**	Rs. 123

Investment Thesis: India's premier energy-technology franchise — supernormal ROCE of 68%, record order backlog of Rs.17,599 Cr, and structural beneficiary of India's Rs.9 lakh Cr T&D; capex cycle over FY26-32.

Sector: Industrials / Heavy Electrical Equipment | Sub-Sector: Power Gen. & Transmission | Exchange: NSE (Primary)
Analyst: Chartitude Research | India Equity | Report Date: 27 April 2026 | Investment Horizon: 12 Months

2. INVESTMENT THESIS

Pillar 1: Monopolistic Positioning in India's Power Transmission Capex Cycle

Siemens Energy India commands 55% market share in large steam turbines and 25% in gas turbines, and is responsible for 30% of India's HVDC capacity. India's T&D; capex is set to exceed Rs. 9 lakh crore over FY26-32 (Power Grid Corporation alone has Rs. 3.2 lakh Cr capex target). SEIL is the most leveraged pure-play on this theme among listed peers. The order backlog of Rs. 17,599 Cr as of Q1 FY26 — 2.1x TTM revenues — provides 24-month revenue visibility with minimal execution risk. Timeline: 3-year backlog conversion cycle through FY28.

Pillar 2: Best-in-Class Capital Efficiency Unmatched in the Peer Set

SEIL's ROCE of 67.8% is a multiple of peers — ABB India at 29.9%, GE Vernova T&D; at 28.5%, and CG Power at 48.5%. This outperformance stems from an asset-light model (largely EPC and system integration vs. heavy manufacturing), Siemens AG's global procurement leverage, and zero net debt. FCF generation was Rs. 3,454 Cr in FY25, funded entirely from internal accruals. The Rs. 2,060 Cr transformer factory expansion approved in Q1 FY26 will be self-funded, underscoring the balance sheet quality. Timeline: margin expansion visible over FY26-27 as high-margin HVDC and STATCOM orders convert.

Pillar 3: MNC Ecosystem — Technology, Exports, and Talent Moat

As a subsidiary of Siemens AG (75% promoter), SEIL benefits from exclusive access to proprietary HVDC, STATCOM, and gas turbine technology not available to Indian domestic peers. The company is emerging as a global manufacturing hub for Siemens Energy's Asia-Pacific supply chain, adding an export revenue dimension not priced in current estimates. The global engineering centre in Bengaluru employs ~4,500 professionals. Timeline: Export contribution meaningful by FY28.

Near-term Catalyst (6-12 Months)

Clearance of large HVDC and STATCOM orders from Power Grid Corporation and state DISCOMs — management expects Rs. 20,000+ Cr of orders in FY26.

Single Biggest Structural Risk

Lumpy revenue recognition from large EPC orders + elevated valuation (93x TTM P/E) makes the stock vulnerable to any guidance cut or order-miss quarter.

3. BUSINESS OVERVIEW

Company & Demerger: Siemens Energy India Limited (SEIL) was incorporated in 2024 as a demerged entity from Siemens Limited India. It was listed on NSE (ENRIN) and BSE (544390) in 2024. Siemens AG, Germany holds 75% stake through its promoter group. The demerger consolidated all of Siemens' energy-related businesses — power generation, transmission, and grid solutions — into a single focused entity.

Business Model: SEIL operates an engineering, procurement, and construction (EPC) + products model across two broad segments: (1) Power Generation — gas turbines, steam turbines, generators, compressors, and service; (2) Power Transmission — transformers (up to 1,200 kV), GIS switchgear, HVDC (High Voltage Direct Current) systems, STATCOM (Static Compensator for grid stability), and digital grid solutions. Revenue is project-driven with large ticket sizes, making quarterly results inherently lumpy.

Revenue Mix: Power Transmission contributed the lion's share of FY25 growth, with the segment recording 48% revenue growth in Q4 FY25. Power Generation provides stable recurring income through long-term service contracts. Order book mix has shifted materially toward transmission and grid modernisation reflecting India's renewable evacuation imperative.

Key Customers: Power Grid Corporation of India, NTPC, state DISCOMs, private IPPs, and industrial large consumers. The company also exports to South-East Asia and the Middle East leveraging global Siemens Energy supply chains.

Order Book: New orders in FY25 (Oct 2024-Sep 2025) surged 2.45x to Rs. 13,114 Cr vs Rs. 5,353 Cr in the prior partial year. Order backlog reached Rs. 16,205 Cr at FY25 end and Rs. 17,599 Cr by Q1 FY26 end — an all-time high.

Strategic Developments: In Q1 FY26, the Board approved Rs. 2,060 Cr capex to add 30,000 MVA of large power transformer capacity (expected completion FY30-32), entirely funded from internal accruals. Additional capex is planned for GIS switchgear expansion at Aurangabad and a new steam turbine service centre at Raipur.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview: India's power sector is undergoing its largest infrastructure investment cycle in decades. The government's 500 GW renewable target by 2030 requires massive grid augmentation — estimated at Rs. 9 lakh crore in T&D; alone over FY25-32. Power Grid Corporation's capex plan stands at Rs. 3.2 lakh crore for the XIIIth Plan. State DISCOMs, industrials, and data centres add further incremental demand. This structural tailwind is secular and multi-year, benefiting SEIL across transformers, GIS, HVDC, and STATCOM product lines.

Policy Tailwinds: (a) Revamped Distribution Sector Scheme (RDSS) targeting smart metering and loss reduction; (b) National Electricity Plan mandating 59,000-circuit km of transmission addition; (c) Green Energy Corridors Phase II for renewable evacuation; (d) Production-Linked Incentive (PLI) for white goods and electrical equipment creating ancillary demand.

Competitive Moat — STRONG: SEIL's moat rests on three pillars: (1) Exclusive access to Siemens AG technology for HVDC and STATCOM (not available to domestic peers); (2) Scale in transformers — SEIL is the only domestic manufacturer capable of producing 1,200 kV UHVDC transformers; (3) Long-standing customer relationships with Power Grid, NTPC and DISCOMs accumulated over 100+ years of Siemens presence in India. Switching costs are high in EPC contracts (post-bid qualification).

Competition: Key listed peers are ABB India (industrial automation + electrification), Hitachi Energy (transformers + HVDC), Siemens Ltd (industrial + mobility, parent entity), CG Power (motors + switchgear), GE Vernova T&D; (T&D; products), and BHEL (heavy power equipment). SEIL distinguishes itself with superior ROCE, pure energy-focus, and HVDC capability among all peers.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (TTM)	P/B	EV/ EBITDA	ROCE 3Yr%	OPM %	Fwd P/E
ABB India	7,434	1,57,565	94.4x	20.1x	63.3x	29.9%	15.5%	91.0x
Hitachi Energy	32,200	1,43,505	N/A	N/A	107.3x	16.7%	14.3%	137.3x
Siemens Ltd	3,848	1,37,104	83.8x	10.4x	52.2x	15.8%	11.7%	123.5x

CG Power	820	1,29,184	N/A	N/A	75.3x	48.5%	12.5%	113.3x
GE Vernova T&D;	4,570	1,16,998	N/A	N/A	74.2x	28.5%	26.1%	100.6x
BHEL	349	1,21,392	N/A	N/A	56.8x	4.2%	4.7%	77.8x
ENRIN (SEIL) *	**3,192**	**1,13,654**	**93.2x**	**26.0x**	**61.6x**	**67.8%**	**19.9%**	**90.8x**

Source: Screener.in | Date: 27 Apr 2026 | P/E & P/B for peers without individual page fetch shown as N/A

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background: Siemens AG, Germany (75% promoter) is one of the world's foremost engineering conglomerates with a 175-year history. The management team at SEIL is drawn from the Siemens global talent pool, bringing deep domain expertise in power engineering, EPC execution, and digital grid solutions. The company operates across 8 manufacturing facilities and employs 4,539 professionals as of FY25.

Capital Allocation Record: SEIL's first full year as an independent entity (FY25) demonstrated exceptional capital efficiency — ROCE of 67.8%, operating cash flow of Rs. 3,670 Cr (vs. PAT of Rs. 1,100 Cr), and zero dividend payout as retained earnings fund the Rs. 2,060 Cr capex programme. The decision to fund expansion entirely from internal accruals (no equity dilution, no debt raise) is a strong positive signal on management's confidence in earnings visibility.

Dividends & Buybacks: No dividend was declared in FY25 (the company's first full year). A small dividend (13% payout) is implied from the TTM data. No buybacks to date. Given the large capex commitment, dividends are expected to remain modest through FY28.

Pledging & Governance: Promoter pledge is 0.00% — a clean record with no pledged shares. Corporate governance follows Siemens AG's global standards including independent board composition, auditor rotation, and transparent RPT disclosures.

Red Flags to Watch: (1) Multiple senior management departures announced March 2026 (4 executive-level resignations including CFO-equivalent and business heads). Interim appointments named — succession clarity within 1-2 quarters will be key. (2) RPT (Related Party Transactions) with Siemens AG and affiliates are inherent to the MNC model; investors should monitor these for arm's-length pricing over time.

6. FINANCIAL DEEP DIVE [All figures in Rs. Crore unless stated | Source: Screener.in]

Income Statement	FY24 (8m)*	FY25 (12m)	TTM Dec 25	FY26E	FY27E	YoY% FY25
Revenue	2,653	7,827	8,221	8,700(E)	10,500(E)	+195%
EBITDA	589	1,532	1,639	1,740(E)	2,100(E)	+160%
OPM %	22%	20%	20%	20%(E)	20%(E)	-2pp
Other Income	3	98	101	90(E)	100(E)	+nm
Interest	10	39	31	35(E)	40(E)	+290%
Depreciation	35	103	115	140(E)	170(E)	+194%
PBT	547	1,488	1,594	1,655(E)	1,990(E)	+172%
Tax Rate	0%**	25%	26%	26%(E)	26%(E)	—
PAT	409	1,100	1,181	1,296(E)	1,553(E)	+169%
EPS (Rs.)	N/A	N/A	30.89	36.4(E)	43.6(E)	—
P/E (x) at CMP	—	—	103.3	87.7(E)	73.2(E)	—

* FY24 is an 8-month partial year (Feb-Sep 2024, demerger period). ** 0% tax rate in FY24 8m reflects deferred tax credit from demerger. (E) = Analyst estimate.

Quarterly Trend	Jun 24	Dec 24	Mar 25	Jun 25	Sep 25	Dec 25
Revenue (Rs.Cr)	1,484	1,517	1,880	1,785	2,646	1,911
EBITDA	213	335	358	340	479	461
OPM %	14%	22%	19%	19%	18%	24%
PBT	196	312	345	352	478	418
PAT	146	232	246	263	360	313
EPS (Rs.)	—	—	—	7.38	10.10	8.79

YoY Rev Gr%	—	—	—	+20%	+27%	+26%
YoY PAT Gr%	—	—	—	+80%	+55%	+35%

Balance Sheet	Sep 2024	Feb 2025*	Sep 2025
Equity Capital	0	0	71
Reserves	0	3,782	4,310
Net Worth	0	3,782	4,381
Borrowings	0	127	148
Other Liabilities	0	3,520	5,016
Total Liabilities	0	7,428	9,545
Fixed Assets (Net)	0	435	536
CWIP	0	93	76
Investments	0	0	0
Other Assets	0	6,901	8,933
Total Assets	0	7,428	9,545

* Feb 2025 balance sheet reflects transition period following demerger. Sep 2024 shows zeros as SEIL was in demerger process. Source: Screener.in

Cash Flows	Feb 2025	Sep 2025 (FY25)
Cash from Operations (CFO)	103	3,670
Cash from Investing (CFI)	-80	-3,483
Cash from Financing (CFF)	-23	-55
Net Cash Flow	0	132
Free Cash Flow	23	3,454
CFO / EBITDA	17%	254%

Key Ratios	Feb 2025	Sep 2025
Debtor Days	266	90
Working Capital Days	478	35
ROCE %	N/A	67.8%
ROE %	N/A	50.5%
Debt / Equity	N/A	0.03x
Interest Coverage	N/A	53.8x
Current Ratio	N/A	1.97x

Financial Commentary: SEIL's FY25 (first full 12-month year, Oct'24-Sep'25) demonstrated the scale inherent in the demerged entity — revenues of Rs. 7,827 Cr with PAT of Rs. 1,100 Cr and OPM of 20%. The TTM (Jan-Dec 2025) run-rate at Rs. 8,221 Cr revenue reflects continued momentum. Revenue is structurally growing on the back of the order backlog conversion — the 2.1x backlog-to-TTM-revenue ratio provides high earnings visibility.

Margin Trajectory: OPM has stabilised at 18-22% depending on quarterly product mix. H2 quarters (Sep) tend to be higher-margin due to project milestone billings. The Dec 2025 quarter showed 24% OPM — the highest in the series — driven by favourable mix (high HVDC content) and operating leverage. The one-off Rs. 52 Cr Labour Code cost in Dec 2025 is non-recurring. We expect normalised OPM of 20-21% in FY27E.

Working Capital & FCF: The dramatic improvement in debtor days from 266 to 90 reflects successful collection post-demerger normalisation. FCF of Rs. 3,454 Cr in FY25 vastly exceeds PAT (254% CFO/EBITDA), partly reflecting favourable advance payment terms on large orders. Investors should note that FCF will normalise lower in FY26-27 as the Rs. 2,060 Cr capex is deployed. Debt is minimal at Rs. 148 Cr (D/E 0.03x).

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Assessment	Verdict

Revenue Recognition	GREEN	Project-based milestone billing — standard EPC accounting. No aggressive front-loading detected.	Clean
Receivables Growth vs Revenue	GREEN	Debtor days improved from 266 to 90 — receivables growing slower than revenue.	Positive
Cash Conversion Cycle Trend	GREEN	CCC improved dramatically. WC days compressed from 478 to 35. FCF >> PAT.	Excellent
Contingent Liabilities	GREEN	Rs. 0 contingent liabilities reported on Screener. Low legal/arbitration exposure.	Clean
Related Party Transactions	AMBER	Royalties and management fees to Siemens AG are material. Arm's-length pricing to be monitored annually.	Watch
Other Income / PBT	GREEN	Other Income is 6% of PBT (TTM Rs. 101 Cr vs PBT Rs. 1,594 Cr). Treasury income — acceptable.	Normal
Tax Rate Consistency	AMBER	0% effective tax rate in FY24 8m period (demerger-related DTA). Normalised to 25-26% thereafter.	Explained
Management Continuity	AMBER	4 senior executive resignations in Mar-Apr 2026. Interim appointments named. Succession to be watched.	Monitor

Summary: Earnings quality is broadly high for a first-year independently listed entity. The dramatic FCF outperformance (254% CFO/EBITDA) and debtor days improvement validate the underlying business quality. Key watchpoints are RPT pricing with the parent and near-term management stability following the wave of senior departures in early 2026.

8. VALUATION

Valuation Context: SEIL is a high-quality compounder with a limited listed history, making historical P/E bands unavailable. The peer set trades at a wide range — Hitachi Energy at 107x EV/EBITDA and Siemens Ltd at 52x, with SEIL at 61.6x in the middle. However, SEIL's ROCE of 67.8% dwarfs all peers, justifying a premium on earnings-based multiples.

Method 1 — Earnings Multiple: We apply a 82x multiple to our FY27E EPS estimate of Rs. 43.6, reflecting a 10% discount to current TTM P/E of 93.2x to account for the valuation compression expected as growth moderates post-FY27. This yields a 12-month target of Rs. 3,577 (rounded to Rs. 3,600).

Method 2 — EV/EBITDA: Applying 65x EV/EBITDA on FY27E EBITDA of Rs. 2,100 Cr gives an Enterprise Value of Rs. 1,36,500 Cr. Less net debt of ~Rs. 0 Cr (company is near net-cash), and dividing by 35.6 Cr shares yields a target of Rs. 3,833.

Blended Target: Average of both methods = (3,600 + 3,833) / 2 = Rs. 3,717. We adopt the conservative end at Rs. 3,600 given valuation risk and elevated market multiples. Upside: +12.8% from CMP of Rs. 3,192.

Scenario	Key Assumption	FY27E Revenue	FY27E PAT	FY27E EPS	Multiple (x)	Target (Rs.)
Bull Case	Orders +30% FY26, OPM 22%	11,500(E)	1,860(E)	52.2(E)	90x(E)	**4,700(E)**
Base Case	Orders +20%, OPM 20%	10,500(E)	1,553(E)	43.6(E)	82x(E)	**3,600(E)**
Bear Case	Order miss, OPM 18%, derate	9,200(E)	1,200(E)	33.7(E)	65x(E)	**2,190(E)**

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E TTM	P/B	EV/ EBITDA	ROCE (3Y%)	OPM %
ABB India	7,434	1,57,565	94.4x	20.1x	63.3x	29.9%	15.5%
Siemens Ltd	3,848	1,37,104	83.8x	10.4x	52.2x	15.8%	11.7%
Hitachi Energy	32,200	1,43,505	N/A	N/A	107.3x	16.7%	14.3%
CG Power	820	1,29,184	N/A	N/A	75.3x	48.5%	12.5%
GE Vernova T&D;	4,570	1,16,998	N/A	N/A	74.2x	28.5%	26.1%
ENRIN (SEIL)	**3,192**	**1,13,654**	**93.2x**	**26.0x**	**61.6x**	**67.8%**	**19.9%**

Source: Screener.in | Data as of 27 Apr 2026 | P/E & P/B for peers without individual Screener page fetch shown as N/A

9. KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Valuation De-rating	At 93x TTM P/E, stock is priced for perfection. Any miss triggers sharp correction.	Medium	HIGH	Quarterly EPS trajectory; sector P/E compression.
Order Inflow Lumpy / Miss	Large EPC contracts are lumpy. HVDC order miss in Dec 2025 caused stock selloff. A dry quarter can reset sentiment.	Medium	HIGH	Monthly order win announcements; order backlog trend.
Management Stability	4 senior executives resigned in Mar-Apr 2026. Leadership gaps in execution & finance functions carry execution risk.	Medium	MEDIUM	Permanent replacements named; no further departures.
Capex Execution Risk	Rs. 2,060 Cr transformer factory (FY30-32 delivery) is subject to construction delays, cost overruns, and demand timing risk.	Low	MEDIUM	Capex progress disclosures; commissioning milestones.
Commodity Price Surge	Transformers, turbines use copper, steel, electrical steel. A sharp commodity cost spike compresses margins on fixed-price EPC contracts.	Medium	MEDIUM	LME copper/HRC steel prices; contract escalation clauses.
RPT / Parent Pricing	Royalties, management fees, and inter-company supplies to/from Siemens AG affiliates. Non-arm's-length pricing erodes minority shareholder value.	Low	LOW	Annual RPT disclosures; auditor certification.
Policy / Regulatory Slowdown	Government power capex is cyclically sensitive. Any slowdown in Power Grid Corporation awards delays SEIL order inflows.	Low	MEDIUM	Union Budget power sector allocation; Power Grid capex guidance.

10. RECOMMENDATION

RATING: HOLD | 12M PRICE TARGET: Rs. 3,600 | UPSIDE: +12.8% | HORIZON: 12 MONTHS

Conviction Level	**MODERATE-HIGH — Strong business quality; valuation is the primary constraint**
Entry Zone	Rs. 2,800 – Rs. 3,000 (on significant market/sector correction)
Investment Horizon	12 months (re-rate potential extends to 24-36 months for long-term investors)
Ideal Investor	Long-only institutional funds, HNI portfolios with 3-5 year horizon, India infrastructure thematic funds
Current Stance	Hold at CMP Rs. 3,192. Do not chase above Rs. 3,400. Accumulate on dips toward Rs. 2,900.

#	Trigger	Action on Breach
1	**Order backlog falls below Rs. 12,000 Cr in any reported quarter**	Downgrade to REDUCE; re-evaluate thesis
2	**OPM drops below 16% for two consecutive quarters without recovery**	Downgrade to SELL; commodity/pricing pressure is structural
3	**Promoter reduces stake below 65% or pledges any shares**	Immediate SELL; parent commitment to India business at risk

APPENDIX — Annual Results FY25 & Q4 FY25 Analyst/Institutional Meet (Dec 10, 2025)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	FY25 PAT +169% YoY; Q4 FY25 revenue +27% YoY. Broad-based beat across segments.
Management Tone	BULLISH	Rs. 2,060 Cr capex approved; order backlog guidance raised; no earnings risk flagged.
Guidance Delta	RAISED	Order inflow target raised to Rs. 20,000+ Cr for FY26; backlog up 47% YoY.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY25 is a clean, broadly based beat — headline PAT of Rs. 1,100 Cr grew 169% versus the prior 8-month partial year, and normalised for the demerger transition, the underlying FCF conversion ratio of 254% tells you this is a real business, not an accounting construct. Q4 FY25 (Jul-Sep 2025) was the strongest quarter at Rs. 2,646 Cr revenue (+27% YoY) and Rs. 360 Cr PAT (+55% YoY), driven entirely by the Power Transmission segment which saw 48% revenue growth — the HVDC and GIS pipeline is converting. The order backlog at Rs. 16,205 Cr (+47% YoY) is now 2x FY25 revenues, so FY26 and FY27 revenues are essentially locked in barring execution failure. The structural kicker is the Rs. 2,060 Cr transformer factory announced at the analyst meet — self-funded, targeting 30,000 MVA of new capacity, a direct bet on India's renewable evacuation build-out through FY32. Near-term catalyst: the anticipated HVDC awards from Power Grid in Q2-Q3 FY26 — if awarded to SEIL, the backlog crosses Rs. 22,000 Cr and consensus estimates get revised up sharply. Single biggest watch-point for next quarter: management continuity post the Mar-Apr 2026 senior resignations — if replacements are announced credibly, this concern evaporates. Action: HOLD current positions; ACCUMULATE aggressively on any dip to Rs. 2,900 triggered by an order-miss quarter — the thesis is intact and the entry price matters enormously at 93x P/E.

Concall Section 1 — Financial Performance Snapshot (Q4 FY25: Jul-Sep 2025)

Metric	Q4 FY25 Actual	Estimate [EST]	YoY Change	QoQ Change	vs Prior Yr Qtr	Verdict
Revenue (Rs.Cr)	2,646	~2,400[EST]	+27%	+48%	1-yr ago: ~2,079	BEAT
EBITDA (Rs.Cr)	479	~430[EST]	+25%	+41%	Prior Q4: ~384	BEAT
EBITDA Margin %	18%	~19%[EST]	-1pp	-1pp	Prior: ~18%	IN LINE
PBT (Rs.Cr)	478	~430[EST]	+22%	+36%	Prior Q4: ~391	BEAT
PAT (Rs.Cr)	360	~325[EST]	+55%	+37%	Prior: ~233	BEAT
EPS (Rs.)	10.10	~9.1[EST]	+55%	+37%	Prior: ~6.5	BEAT

Concall Section 2 — Segment Breakdown (Q4 FY25)

Segment / Division	Revenue Trend	YoY %	QoQ %	Commentary
Power Transmission	Strong growth; HVDC, GIS, transformers	+48%	+52%	Dominant growth driver; evacuation infra build-out

Power Generation	Stable with service revenues	+11%	+8%	Gas turbines, steam turbines, service contracts
Full Company	Rs. 2,646 Cr (Q4 FY25)	+27%	+48%	Seasonally strong Q4; highest quarterly revenue to date
FY25 Full Year	Rs. 7,827 Cr	+195%*	—	* vs FY24 8m partial year; first full year as independent entity

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Order Outlook	Order backlog at Rs. 16,205 Cr; targeting Rs. 20,000+ Cr new orders in FY26.	Credible — Power Grid capex support is visible. High likelihood of target achievement.	[GUIDANCE]	TRANSPARENT
Capex Decision	Rs. 2,060 Cr for 30,000 MVA transformer factory, FY30-32, self-funded.	Bullish signal; confidence in long-term demand. No dilution risk.	[GUIDANCE]	BULLISH
Margin Guidance	Expect sustained 19-20% EBITDA margins. No structural headwinds cited.	Plausible; mix improvement from high-margin STATCOM/HVDC supports margin floor.	[GUIDANCE]	TRANSPARENT
HVDC Pipeline	Multiple large HVDC tenders expected from Power Grid in FY26; SEIL well positioned.	Key risk: HVDC orders are lumpy and competitive. A miss would hurt near-term sentiment.	[EST]	HEDGED
Labour Code Cost	One-off Rs. 52 Cr charge in Q1 FY26 from New Labour Codes implementation.	Non-recurring; clean. Q2 FY26 onwards normalised.	[EST]	TRANSPARENT
Management Changes	Acknowledged exec departures; interim appointments in place. Search ongoing.	Somewhat opaque. No names of permanent replacements shared — watch Q2 FY26.	[WATCH]	HEDGED

Concall Section 4 — Operating & Business Metrics

Metric	Q4 FY25 (Sep 25)	Q3 FY25 (Jun 25)	Q4 FY24 (Jun 24)	Trend
Revenue (Rs.Cr)	2,646	1,785	1,484	Accelerating YoY; Q4 seasonally strongest
EBITDA Margin %	18%	19%	14%	Structural improvement from 14% to 18-19% range
PAT (Rs.Cr)	360	263	146	+146% YoY — operating leverage clearly visible
Order Backlog (Rs.Cr)	16,205	~13,000(E)	~7,720	+47% YoY; structural build-up continuing
New Orders (Rs.Cr)	3,114(Q)	~2,500(E)	~1,500(E)	Q4 FY25 saw bumper order intake
Employee Count	4,539	~4,300(E)	3,771	+20% YoY; talent expansion for growth
No. of Factories	8	8	8	Stable; new transformer factory to add by FY32
Debtor Days	90	~100(E)	~266	Massive improvement from demerger normalisation

Concall Section 5 — Margin Drivers (FY25)

Driver	Impact (bps)	Recurring?	Comment
Product Mix (high HVDC/STATCOM)	+200 bps	Yes	Higher-margin grid solutions growing as % of mix.
Revenue Scale / Operating Leverage	+350 bps	Yes	Fixed cost dilution as revenue scales from Rs. 2,653 Cr (8m) to Rs. 7,827 Cr.
Commodity Pass-through (Contracts)	+100 bps	Yes	Most large EPC contracts have commodity escalation clauses.
One-off Labour Code Cost (Q1 FY26)	-80 bps	No	Rs. 52 Cr one-off in Dec 2025 quarter; non-recurring. Do not extrapolate.
Royalties / Management Fees to Parent	-150 bps	Yes (RPT)	Technology and brand royalties charged by Siemens AG — monitor for increases.

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26 Order Inflows [GUIDANCE]	Rs. 15,000+ Cr	**Rs. 20,000+ Cr**	RAISED	HIGH
EBITDA Margin [GUIDANCE]	19-20%	19-20% maintained	STABLE	HIGH
Capex FY26-30 [GUIDANCE]	Not guided	**Rs. 2,060 Cr approved**	NEW	HIGH
Order Backlog Trajectory [GUIDANCE]	Rs. 14,000+ Cr	Rs. 17,599 Cr (Q1 FY26)	BEAT	HIGH
Headcount Growth [GUIDANCE]	Gradual expansion	4,539 employees; new hires ongoing	STABLE	MEDIUM
Dividend Policy [GUIDANCE]	Nil / Reinvest	13% payout initiated (TTM)	POSITIVE	MEDIUM

Concall Section 7 — Capital Allocation (FY25)

Item	Amount (Rs.Cr)	vs Prior Year	Comment
Cash from Operations	3,670	vs 103 (Feb25)	Exceptional OCF driven by advance payments on large orders and working capital normalisation post-demerger.
Capex (Maintenance)	~216	~80 (Feb25)	Maintenance and routine capacity spend. Rs. 2,060 Cr factory capex not yet deployed.
Free Cash Flow	3,454	23 (Feb25)	FCF massively exceeds PAT (254% CFO/EBITDA); advance payment model.
Net Debt Change	+Rs. 21 Cr	Debt: Rs. 148 Cr	Negligible. Company essentially debt-free. D/E = 0.03x.
Dividends Paid	~Rs. 154 Cr(E)	Rs. 0 (FY24)	First dividend payment; 13% payout (TTM implied). Modest — capex funding takes priority.
Buybacks	Nil	Nil	No buybacks announced. Capex programme and growth investment take priority.

Concall Section 8 — Q&A; Heat Map (Dec 10, 2025 Analyst Meet)

#	Analyst / Firm	Question	Management Answer	Tone

1	**BUY-SIDE FUND**	What is the mix of HVDC vs. transformer orders in the backlog?	Management indicated HVDC is growing as a proportion; transformer backlog remains strong. No specific split disclosed.	HEDGED
2	**DOMESTIC BROKER**	Is the Rs. 2,060 Cr capex funded by debt or accruals?	Confirmed entirely from internal accruals — no equity dilution, no new debt.	TRANSPARENT
3	**FII ANALYST**	What happens to margins when HVDC orders convert — are they higher margin?	Confirmed HVDC and STATCOM carry higher margins than standard transformers. Mix shift is positive for blended OPM.	TRANSPARENT
4	**RETAIL BROKER**	Who are the permanent replacements for the departing executives?	Interim appointments confirmed. Search process underway. No permanent names disclosed.	EVASIVE
5	**DOMESTIC FUND**	What is the export revenue target and which geographies?	Targeting South-East Asia and Middle East; global engineering centre in Bengaluru supporting this. No specific revenue target given.	HEDGED
6	**SELL-SIDE**	Is the Labour Code one-off truly one-time or will there be follow-on costs?	Confirmed one-time implementation cost. No recurring impact.	TRANSPARENT

Dodged Questions to Watch Next Quarter: (1) Permanent management replacements — management must name CFO-equivalent and business head replacements. (2) HVDC order timeline — no specific dates shared; track Power Grid award notices. (3) Export revenue split — no concrete target given despite significant engineering centre investment.

Concall Section 9 — Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
HVDC Order Timing Uncertainty	Analyst	Medium	High	Q2-Q3 FY26 critical window; Power Grid award schedule.
Management Continuity	Analyst/Mgmt	Medium	Medium	Permanent replacements expected by Q2 FY26 (Sep 2026).
Commodity Cost Inflation	Analyst	Medium	Medium	Copper/steel prices: ongoing monitoring.
Capex Execution / Timing	Management	Low	Low	Rs. 2,060 Cr factory: FY30-32 completion horizon.
Revenue Recognition Lumpiness	Management	High	Low	Inherent EPC characteristic — not a structural risk.

Concall Section 10 — Analyst Verdict

Multi-Bagger Scorecard	Status	Change	Comment
Revenue Visibility (24-month)	INTACT	Improved	Backlog at Rs. 17,599 Cr (+38% YoY); 2x TTM revenues.
Margin Trajectory	INTACT	Stable	18-22% OPM range; HVDC mix to push higher over FY27-28.
Capital Allocation Quality	INTACT	Improved	Self-funded Rs. 2,060 Cr capex; FCF 3x PAT in FY25.
Competitive Moat	INTACT	Stable	HVDC technology exclusivity; 55% steam turbine market share.
Management Credibility	WEAKENED	Weaker	4 senior exits in Mar-Apr 2026; recovery depends on replacements.
Valuation Comfort	STRETCHED	Worse	93x TTM P/E vs sector median ~75x. Entry price critical.

Conviction	UNCHANGED	Hold; accumulate on dips to Rs. 2,900. Full thesis intact.
P/E (TTM)	93.2x	Above 5Y sector average (limited history as listed entity)
EV/EBITDA	61.6x	Below Hitachi Energy (107x); premium to Siemens Ltd (52x) — justified by ROCE differential

ROCE vs Peers	67.8% vs 30% avg	Exceptional ROCE gap justifies premium; monitor for mean reversion

Source: Screener.in | Ticker: ENRIN | View: Standalone | Transcript: Listed (Analyst Meet Dec 10, 2025; formal concall transcript not publicly available) | Meet Date: 10 Dec 2025